COVER STORY

ESSENTIAL RATIOS TO NAVIGATE YOUR FINANCES

Use these 10 key performance indicators or KPIs to analyse your financial status and monitor the progress toward wealth creation

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In many ways, we are using data in our day-to-day lives knowingly or otherwise. A lot of our decision-making today is a result of analytical processes based on data that we have shared or consumed. When you are online, social media platforms such as Facebook suggest new friends for you or feeds that are of interest to you. YouTube prompts music and shorts for you based on your history and Google completes a search even before you fully type the word. Shopping and travel have become easy with data being the source of decision-making—you look up a travel site for a destination along with low-cost tickets and hotel bookings in one shot.

Our mind has always looked for patterns to analyse and evaluate the data we use. For instance, it was always ingrained in us to look forward to the end-of-season sale to buy clothes or make certain purchases closer to festivals to benefit from sale as well as bonuses one would receive during that time. As the Internet of Things evolves, mobile phones have become the go-to device for healthcare, fitness, entertainment, travel, and also finances.

The data available with finance platforms provides insights that can be very useful to manage one's finances—save, spend and invest. Data and technology together are giving us more access and control in our financial lives with online shopping, online banking, mobile payments, and automatic deposits—it may also be changing how we view and value money. The way UPI (Unified Payments Interface) has transformed payments is well documented, it has also made automated payments towards insurance premiums, SIP (Systematic Investment Plan) and even investing in IPO (Initial Public Offering) accessible widely.

THE DATA AVAILABLE WITH FINANCE PLATFORMS PROVIDES INSIGHTS THAT CAN BE VERY USEFUL TO MANAGE ONE'S FINANCES

Yet, chances are you aren't using personal finance data points such as net worth, debt servicing ratio or return on investment (ROI) and many other indicators to gain greater control over your financial life. There are 10 data points that can play an important role in your financial life. Treat these as financial key performance indicators (KPIs) that are the most meaningful to your life. These can be useful to evaluate your financial strengths and areas that need improvement. These benchmarks can help you understand and develop better financial habits in saving, spending, and budgeting. We look into each one of them to identify how they are arrived at and what they mean to us.